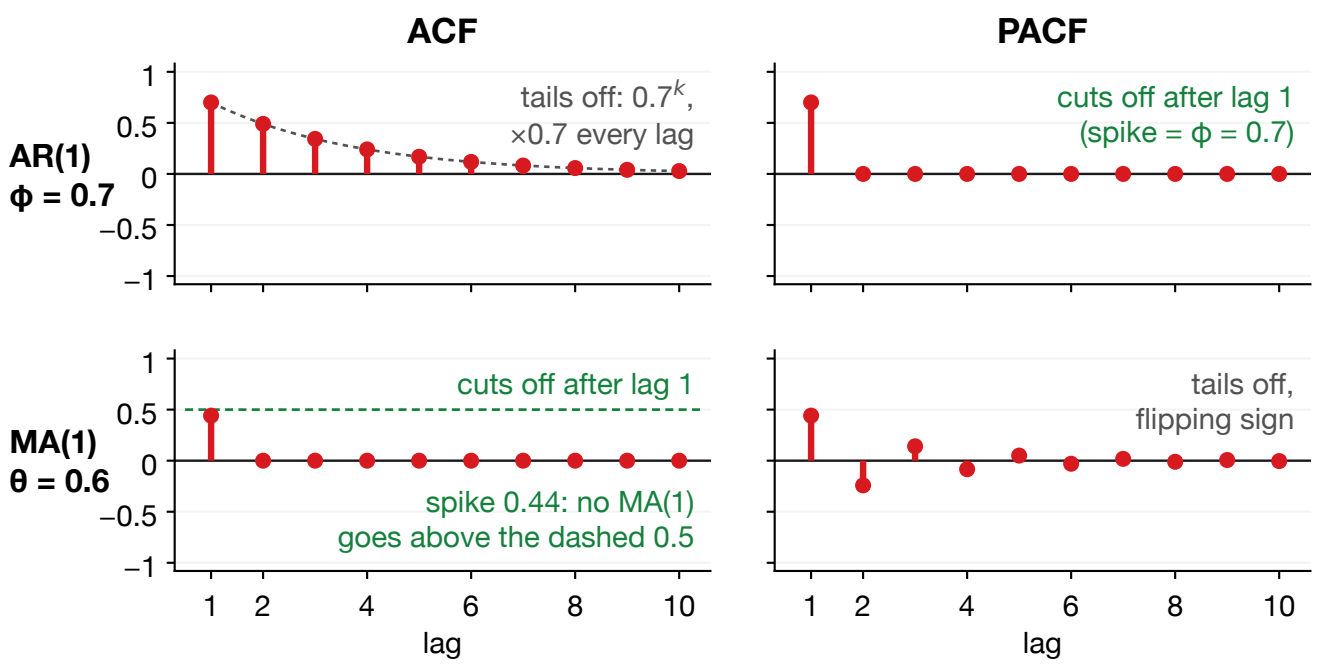
ACF
PACF
AR(1)
ϕ = 0.7
tails off: 0.7^k,
×0.7 every lag
cuts off after lag 1
(spike = ϕ = 0.7)
MA(1)
θ = 0.6
cuts off after lag 1
spike 0.44: no MA(1)
goes above the dashed 0.5
tails off,
flipping sign
1
0.5
0
−0.5
−1
1
2
4
6
8
10
lag